

Mark Scheme

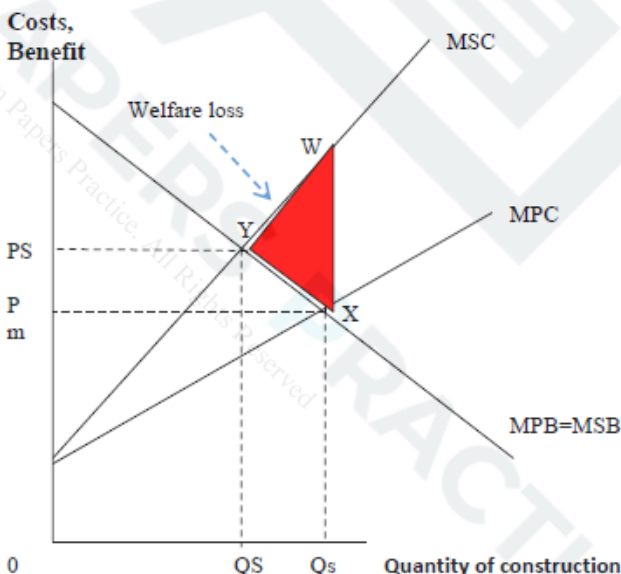
Q1.

Question Number	Answer	Mark
(a)	A	(1)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 1, Analysis 1 Knowledge/understanding: 1 mark for defining what a permit scheme is, e.g. a tradable permit scheme is where firms are given permits which give them a limit to the amount of pollution they emit (1) 1 mark for understanding the process, e.g. if they emit more than permitted then they can trade them with firms who have excess permits (1) Application: 1 mark for impact. This creates a profit incentive for firms to reduce pollution (1) Analysis: 1 marks for linked development linked to process, e.g. as firms may have excess permits they can sell to add to the firm's revenue (1).	(4)

Q2.

Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 8, Evaluation 9 - Understanding of private costs and external costs (may be implicit). - Explanation of private costs in nuclear power station: purchase of land, machinery, construction of buildings, labour costs, security costs, raw materials. - Explanation of external costs: visual eyesore, impact on wildlife, impact on local property prices, air pollution, road congestion, risk of leak or contamination. - Diagram depicting private costs and external costs	

	 (25) ➤ Original MPB / MSB and MPC curves ➤ MSC curve (accept a parallel shift of the MSC curve) ➤ Identification of market equilibrium and socially efficient quantity ➤ Identification of triangle of welfare loss NB: For a Level 4 response, candidates must include an accurate diagram and consideration of both private and external costs.	
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	Costs also include: • Risk from major nuclear plant failure. • Imperfect market knowledge: risk from incomplete technology for developing the nuclear reactor. • Risk from foreign ownership and control of major nuclear power station (funded and built by French and Chinese companies). • High price of electricity consumers will pay – above the market price. • Accept macro point e.g. long term income outflow on the balance of payments. Evaluation • Difficulty in measuring and attaching a monetary value to private costs and external costs. • Time lag in building plant – at least 10 years. • Government intervention may reduce size of external costs e.g. construction noise abatement measure. • Risk of government failure; some argue it could not withdraw from the Hinkley Point project without major loss of trade with China. • Accept macro point e.g. short and long run effects on the balance of payments.	
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	Significant private and external benefits from the project which offset costs and/or reduce welfare loss, may include: • Employment and income creation / positive multiplier effects at local, national and international level / French and Chinese firms view it as a first step to securing further contracts from around the world. • Increased security of energy supply for the future – some 7% of UK electricity for sixty years / given the closure of many coal power stations. • Diversify UK energy production and so spread risks from uncertainty on non-renewable sources such as wind power and solar power. • Stable price of electricity for consumers for next sixty years. • Less damage to the environment / nuclear energy has low carbon emissions / easier for government to achieve internationally agreed carbon emission targets. • Extremely tight safety regulations to be imposed on the building and operation of the nuclear power station / one of the greatest safety regulations in the world.	
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Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q3.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 1, Analysis 1 Positive statements are value free/ based on facts/ can be verified and/or Normative statements contain value judgements/ not based on facts/ cannot be supported with evidence (1) The reference to 'should' in the statement suggests it is normative as this is a person's value judgement or vaccination can be good for an entire population (1) The idea that those who are not vaccinated will benefit is a positive statement as evidence will exist that shows others will benefit from others being vaccinated or if enough of its members are vaccinated, even those who are not will receive a measure of protection (1)	(3)

Question Number	Answer	Mark
(b)	The only correct answer is C <i>A is not correct because this is government failure</i> <i>B is not correct because this is the incentive function of the price mechanism</i> <i>D is not correct because this is the rationing function of the price mechanism</i>	(1)

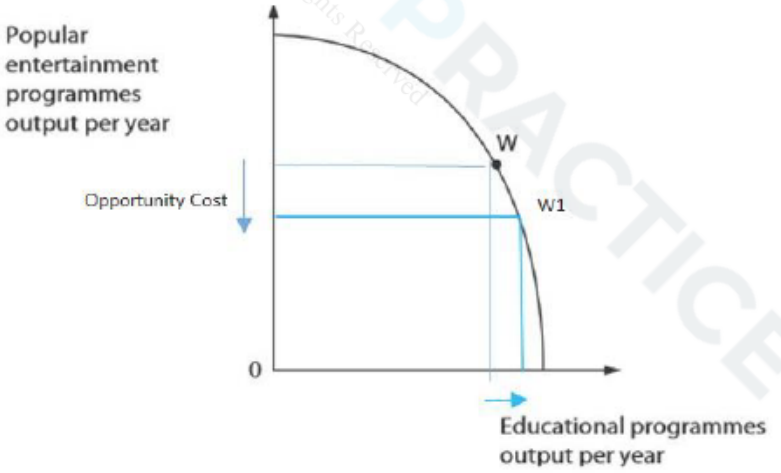
Q4.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 1, Analysis 1 Knowledge/Understanding 1 mark for identifying/defining excess demand, shortage Application 1 mark for application to university education, e.g. • Diagram indicates cut in tuition fees from £9 000 to £6 000 (1) • Universities lack cash so close down departments (1) • University now more affordable for applicants (1) Analysis 1 mark for linked development, e.g. • Lower maximum price illustrated or explained, price below market equilibrium (1) • Extension in demand, movement forwards along demand curve if drawn (1) • Contraction in supply of university places, movement backwards along supply curve (1)	(3)

Question Number	Answer	Mark
(b)	A	(1)

Q5.

Question Number	Answer	Mark
(a)	Knowledge 1 Knowledge/understanding 1 mark for definition, e.g. • Measure of the welfare (utility) that people gain from consuming goods and services • Difference between the total amount that consumers are willing and able to pay and the total amount that they actually pay. • Diagram showing area under the demand curve and above the market equilibrium price.	(1)

Question Number	Answer	Mark
(b)	Application 2 Application 2 marks for, e.g. An additional point to the right of W indicating movement of resources towards educational programmes (1) and the resulting opportunity cost, showing a fall in output of popular entertainment programmes (1). The following diagram earns 2 marks: 	(2)

Question Number	Answer	Mark
(c)	The only correct answer is C <i>A is not correct because this is providing an example of government finances rather than being non-excludable or non-rivalrous as a definition of a public good.</i> <i>B is not correct because this is confusing popularity with public goods, rather than being non-excludable or non-rivalrous as a definition of a public good.</i> <i>D is not correct because this is confusing benefits to third parties as members of the public rather than being non-excludable or non-rivalrous as a definition of a public good.</i>	(1)

Q6.

Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 8, Evaluation 9 • Definition of microeconomic consequences • Identification of positive XED Positive consequences • Consequences for microeconomic agents of increased demand for electricity – consumers, electric vehicle manufacturers, electric vehicle dealers, battery manufacturers, freight companies, retailers, government, employees. • Use of cost and revenue diagram for to show the effect on profit of falling cost of electric powered vehicles/rising revenue. • Welfare effects on consumer and producer surplus of consumers switching to electric powered vehicles. • Efficiency – allocative, productive, dynamic • Positive external benefits • Reduced negative external costs ($MSC > MPC$) closer to social optimum Negative consequences • Use of cost and revenue diagram to show the effect on profit of rising cost of petrol or diesel/declining revenue ($D = AR$). • Welfare effects on consumer and producer surplus of consumers switching away from diesel or petrol. • Efficiency – x-inefficiency • Loss of government revenue as a large proportion of petrol or diesel price is tax • Negative external costs associated with e car manufacturing NB: Negative consequences can be seen as KAA and positive consequences against as evaluation or vice versa.	

	Evaluation • Predictions may be wrong – dynamic market forces between substitutes may result in cheaper sources of oil, electric power becoming more expensive. Lack of electric infrastructure. Distant substitutes, XED < +1. • Counterarguments made to the point raised e.g. Supernormal profits made may raise barriers to entry, firms may pursue sales maximisation rather than profit maximisation, congestion. • Information gaps • Different geographic markets – regulations and taxes on oil powered vehicles • Impact on the oil market will depend on how electricity is generated • Negative external costs partly offset by increased demand for electricity NB: Negative consequences can be seen as KAA and positive consequences against as evaluation or vice versa.	(25)
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Level 3	7-9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q7.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for understanding/formula of price elasticity of demand i.e. the responsiveness of quantity demanded to a change in price Application 2 marks for using data e.g. • reference to fees e.g. £9 250 (1) or PED e.g. -0.5 (1) • 825% increase in fees (2) Analysis PED is inelastic (1) so government and universities know that students are prepared to accept higher fees (1) Students are not price sensitive (1) so the level of fees is perhaps less important than other issues e.g. fairness of fees for different courses (1)	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2 - The statement is concerning because people from poorer backgrounds are less likely to apply to university in the first place (Extract A, Figure 3), so when they do go and drop out we are failing to maximise the use of scarce resources - Universities are trying to increase accessibility but failing to keep poorer students. This means that graduates are increasingly likely to be from wealthier families and poorer student are leaving because of concern over high levels of debt - Would this happen if England had low or no tuition fees like Germany? - Candidates may draw a PPF showing the country operating within the frontier because as a nation we are not making the most of our labour force - Opportunity cost. Government and universities spending money/resources that could have been spent elsewhere	(6)

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Level 2	3-4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5-6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Answer	Mark
(b) continued	Evaluation 4 • Extract A refers to the fact that 'Students from all backgrounds are more likely to go to university than ever before' • Poorer students are continuing to attend university and various schemes exist to support them • Questioning the extent of the effect over time. How significant is this? Are tuition fees a significant contributor to drop-out rates? • Judgement should focus on how important this effect is NB KAA can be treated as Evaluation and vice versa	(4)

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Level 2	3-4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	Knowledge 2, Application 2, Analysis 2 Knowledge/understanding • Identification of one external and one private benefit: tax revenue (external); higher earnings (private) (1+1) Application 2 marks for, e.g. • 'the government will benefit greatly from additional tax revenues' (1) • 'the rest will be in the form of their extra spending power' (1) Analysis Linked development of why the education specifically benefits producers e.g. higher productivity enable firms to achieve lower costs and, therefore, lower prices (1+1) Award up to 3 marks for each benefit	(6)

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 Formula for percentage calculation (new-old)/old x 100. (1) $(102357 - 45418)/45418 \times 100$ (1+1) = Accept any figure between 125 and 126 NB Award 4 marks for a correct answer of 125%. Award up to 3 marks for correct working.	(4)

Question Number	Answer	Mark
(e)	Knowledge 3, Application 3, Analysis 3 • The top five subjects generate earnings significantly above the average when compared to non-graduates whereas the bottom five reduce earning potential. Charging different fees would allow universities to maximise their own earning potential • Students would pay because they can clearly see that the benefits outweigh the costs • Some subjects cost more to staff, so they should cost more, allowing less expensive degrees to be reduced in price • Provide improved courses / give students better educational experience/attract more domestic students • Provide more funds to look after disadvantaged students • Improved courses will attract overseas students • Allow universities to cover the true cost of some courses. Examine variable fees in terms of allocation of resources • Discuss the consumer pays principle. Consumers i.e. students who benefit from university education (premium of £10 000) should pay/contribute to the cost? • Discuss the government / taxpayer role in financing higher education • Long term supply side benefits e.g. more skilled work force	(9)

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Level 3	7-9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Answer	Mark
(e) continued	Evaluation 6 - Difficult to quantify exactly what should be charged for what subjects – figures can change over time - May be problematic for those from poorer families, who may see the higher cost of certain degrees as prohibitively expensive - Discussion of the concept of a 'broader education' – are degree choices simply about money. A creative arts subject may reduce earning potential when compared to the average but such subjects are essential for any liberal education	(6)

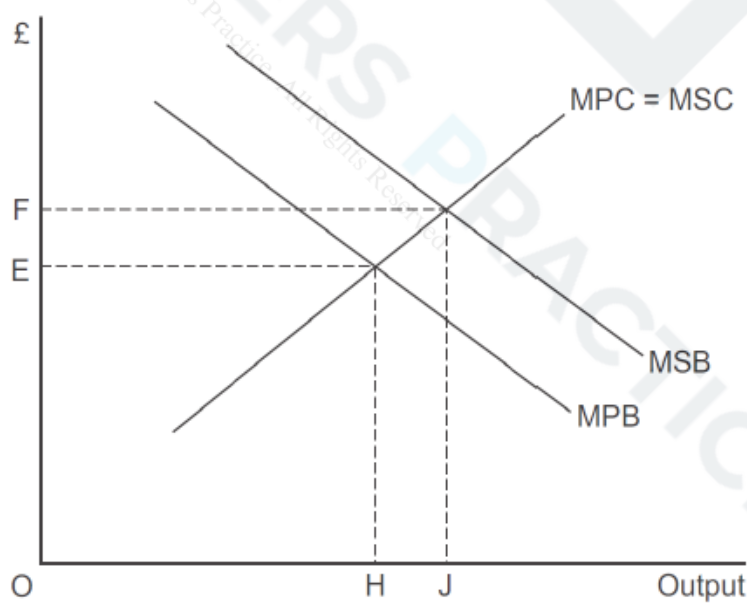
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Level 3	5-6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(f)	Knowledge 4, Application 4, Analysis 6 The extracts contain plenty of examples from an international context. • Re-designing the structure of fees in England according to the 'value of the degree' • This could be done by subject, institution etc. • Cutting fees for poorer groups and introducing maintenance grants • The US model where top institutions charge high fees and state universities much lower ones • The European model of lower fees • A graduate tax as in Germany • Discussion of efficient/inefficient allocation of resources • Education as a merit good • External benefits application (with appropriate diagram) • Impact on income inequality/fairness/impact on poorer communities • Free market system will discourage 'fringe degrees' and focus on degrees that offer more vocational benefits that pay higher salaries (Good or bad?) Candidates may use supply and demand analysis to develop the idea of different subjects charging different fees.	(14)

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Level 3	7-10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11-14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Answer	Mark
(f) continued	Evaluation 6 England is similar to the U.S. and quite different from Europe • Good evaluation will consider the strengths and weaknesses of each method • European approaches recognise the increase in graduate earning potential and the much higher taxes that graduates will pay in the future. They are much cheaper at the point of use and encourage applicants from poorer families. The taxpayer pays the majority of the cost at the point of use • U.S. and English approaches recognise that the consumer of education must pay at the point of use and be prepared to make a personal investment in future earning power. Students are encouraged to consider whether their degree is worth the cost. If creative arts confer no benefits, then why study them?	(6)

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Level 3	5-6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Answer	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Education creates positive externalities in consumption. Left to the market alone there will be under-consumption of education. This can be illustrated through an externalities diagram: 	

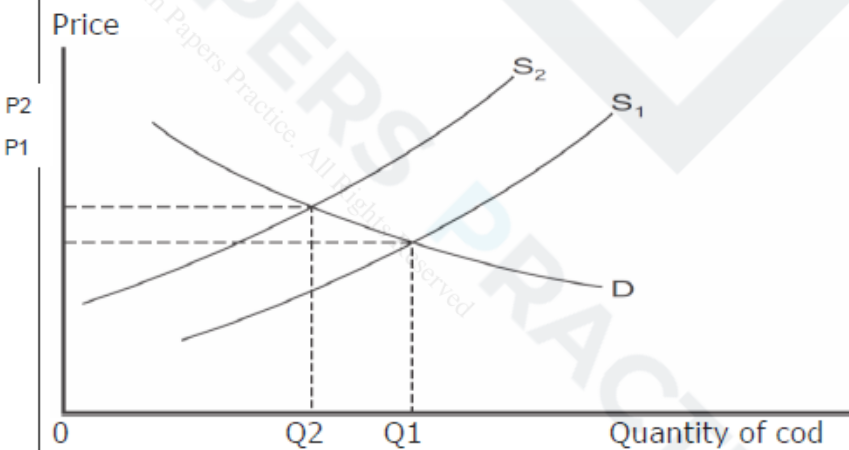
	- The diagram below shows the marginal private benefit (MPB) and marginal social benefit (MSB) curves and the marginal private cost (MPC) and marginal social cost (MSC) curves for higher education - The external benefits of education are social benefits that spillover to benefit others in the society and future generations. These include lower government health, welfare, and prison costs; strengthened democracy, human rights, political stability, and social capital; less crime and poverty; environmental benefits; better international competitiveness; new ideas and diffusion of technology - Government intervention can be used to ensure that the optimum quantity of education, J, is consumed rather than the free market outcome at H	(14)
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Question Number	Answer	Mark
(g) continued	Evaluation 6 • There is a significant issue of measurement where externalities are concerned • Many of the social benefits identified above are 'vague' and ambiguous • As a result there can be considerable 'government failure' in education • Understanding of government failure as intervention that results in a net welfare loss; how is government supposed to know which degree level subjects are in demand in the future? • Causes of government failure: ◦ distortion of price signals ◦ unintended consequences ◦ excessive administrative costs ◦ information gaps	(6)

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Level 3	5-6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q8.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for original supply and demand diagram with original equilibrium Application 2 marks for using source data explaining change in supply e.g. • Cod catch limits cut (1) by 50% (1) • Reduced limited TACs agreed for Celtic Sea/Irish Sea/west of Scotland (1) • Relevant use of data from Figure 1 (1+1) e.g. Identifying the country that is overfishing (1) Identifying the amount of overfishing (1) Analysis Accurate diagram – showing price rise or candidate states price rise (1) correct shift in supply (1) e.g. 	(5)

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 2 Reasons why fishing as much as possible is rational • This is completely rational from the perspective of a fishing company, which has revenues clearly linked to size of catch. • Shows an understanding of profit maximising behaviour. 'Private producers will act in their own self-interest and exploit common access resources to maximise profit.' • Figure 1 shows Sweden fishing at an excess of 52.4% in excess of TAC. • Using techniques to increase the size of the catch will help to minimise costs • 'Common access resources provide an opportunity for individuals to create profit, while spreading negative externalities to everyone else.' NB KAA can be treated as Evaluation and vice versa	(6)

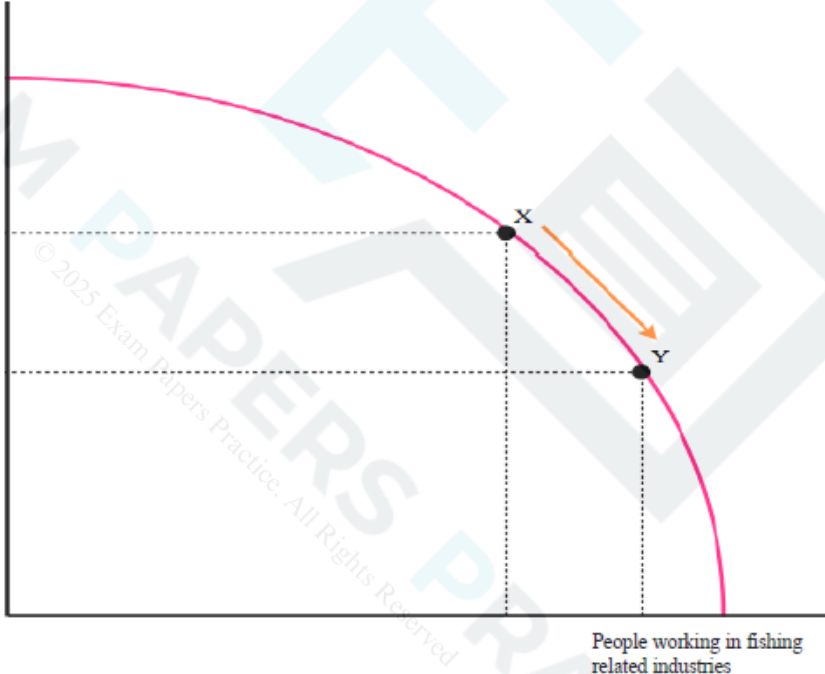
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Question Number	Indicative content	Mark
(b) continued	Evaluation 4 Reasons why fishing as much as possible is irrational: • ‘Exploitation is unsustainable and will lead to the depletion of resources; this is known as the tragedy of the commons.’ • Short run profits means that stocks are rapidly depleted so in the long run there are no resources for them to fish e.g. individual firms find that dwindling fish stocks mean their own revenue base is contracting. ‘90% of fish stocks are depleted.’ • It may be rational for firms to behave this way but also it is harmful to society of which those firms are a part e.g. negative externalities impact society as a whole	(4)

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Question Number	Answer	Mark
(c)	Knowledge 2, Application 2 Analysis 2 Knowledge and Analysis (1+1)x2 • Excludability (1) e.g. private ownership enables individuals to charge for the use of an asset (1) • Private ownership of resources (1) e.g. land, labour, capital and enterprise may be exploited by private individuals or firms (1) • Rivalry (1) e.g. private owners of resources can choose to buy and sell resources in order to generate profit (1) • Private ownership in a free market economy may lead to wage disparities or other inequalities (1+1) Application (1+1) 1 mark for use of Extract B e.g. ‘private producers will act in their own self-interest’ individuals ‘maximise profit’ 1 mark for use of own knowledge e.g. private ownership of a resource means someone is accountable for it (1) If someone owns something then they legally stop other people from using it (1)	(6)

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 1 mark for e.g. Identifies the correct formula (1) e.g. the formula for XED is $\frac{\% \Delta QD}{\% \Delta P}$ Good B $-8 = \frac{x}{2\%}$ (1) $-8 \times 2\% = -16\%$ (1) (decrease in quantity demanded of bags of chips) $950\,000 \times 16\% = 152\,000$ (1) $950\,000 - 152\,000$ (1) = 798 000 If correct answer is given award all 4 marks. Award up to 3 marks for correct working but overall correct answer missing.	(4)

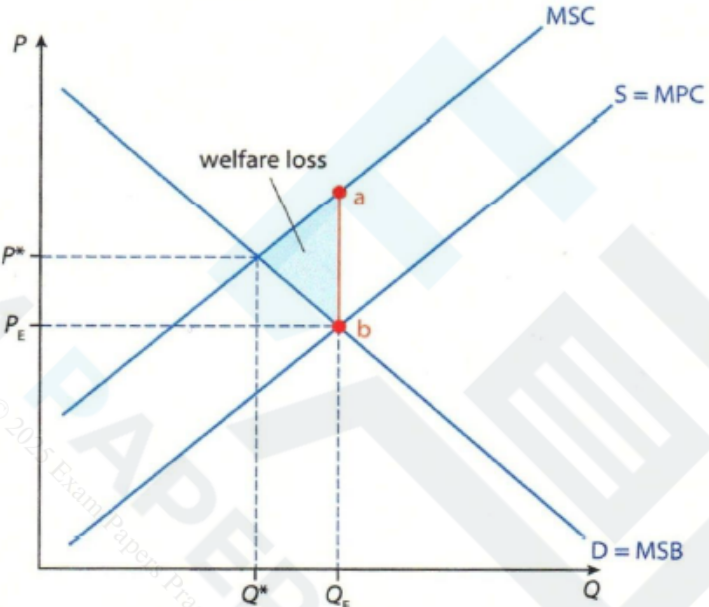
Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Impacts can be positive or negative. Understanding of specialisation. The number of workers in the fishing industry relative to other workers will be more in Scotland relative to the rest of the UK: People working in non-fishing related industries  People working in fishing related industries NB If there is no valid diagram - maximum level 2 KAA	
	Advantages might include: - Fishing fleets develop expertise based on years of experience - This will be the case for both labour and capital - Fishing ports have the infrastructure to process the catch and to distribute it to markets in the UK and overseas - Employment opportunities will be available and will grow as the industry develops - Specialisation enables training providers to specialise in developing skills for workers in the region - more resources can go in to	(9)

	preparing for fishing industry without having to invest in training in other areas. • Spillover effects - skilled labour more freely available so if a new worker is needed they can benefit from training with a different company • Efficient use of resources – a region that specialises in fishing due to availability of resources e.g. good fishing grounds. • Creates jobs – people of Scotland will be able to find employment in the fishing industry • Scotland specialising in the production of fish can catch more and then trade with other countries who specialise in the production of other goods. • By catching more fish the economy can sell these, increasing income in the Scottish economy • By specialising and division of labour increasing output/ reducing costs of production the economy can improve income, living standards. NB KAA can be treated as Evaluation and vice versa	
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Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 There are many disadvantages of specialising in the production of goods and services to trade: • Over-exploitation of resources leaves economic agents over-exposed, leading to possible business failures and job losses • The reduction of the cod TAC could lead to major issues for Scottish fishing • External costs related to congestion and pollution • Demand for fish falls with the increased trend towards vegetarianism and veganism, the economy would be at risk • Workers could find it difficult to transfer to other industries if they are over-specialised • Current consumption may be unsustainable leading to reduced incomes for future generations	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

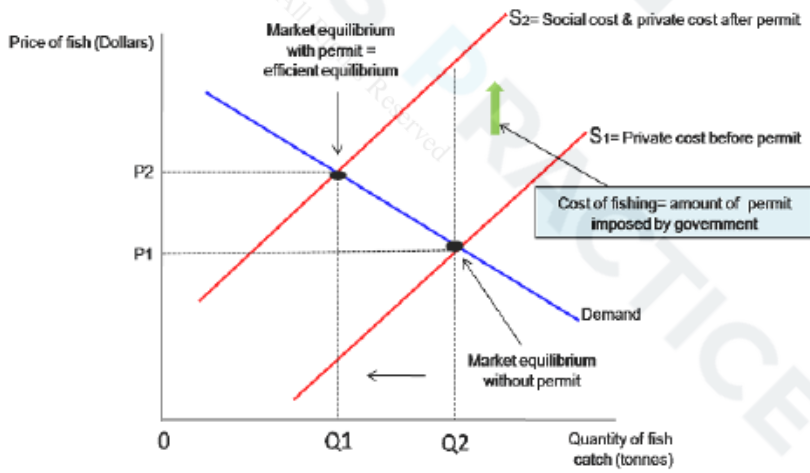
Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 Overfishing is a negative externality in production. Diagram e.g.  NB If there is no appropriate diagram - maximum level 3 KAA	
	Figure 1 shows the scale of the overfishing for different nations, e.g. Sweden's TAC is 52.4% above what the scientists advise. Multiple external costs are referred to in the Extracts. Extract B states that '90% of fish stocks are depleted.' The cod TAC should be reduced in order to reduce the extent of the overfishing. This would reduce the quantity caught from Q_E to Q^*. Possible external costs/third parties that might be affected - Fishing nets can damage wildlife, costing wildlife charities to rescue and rehabilitate animals - Fishing boats spill oil which has a negative impact	(14)

	on those swimming in the sea or wildlife, clear up for Environment Agency etc • Fishing industry throws any over catch back in to the sea, this can pollute the water • Smell from fishing industry can have a negative impact on those that live near the ports • Overfishing increases supply - lowers price and this has negative impact on manufacturers of other food items.	
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 • Hard to put a value on external costs - how do you value harm to wildlife • Some impacts are slow to emerge • External benefits may exist - jobs in fish food processing plants, boat building and net making industries • Technology improves meaning risk of oil spills reduces • Net manufacturers are developing safer nets - fishing industry more aware of the need to dispose of nets appropriately • New method of fishing are reducing the external costs • TACs have helped to reduce the external costs	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Do not award policies involving changes in the total allowable catch (TAC) per country There are a range of policy options available to reduce over-fishing: Ways might include: • Provision of information, so that consumers can be encouraged to consume sustainably • Regulation e.g. designated areas for fishing allowing stocks to recover • Extension of property rights to international waters • Agreements on shares of fish that can be caught • Imposing indirect tax on fish to reduce consumption • Subsidy paid to firms to use safer technology • Minimum price for fish • Government permits awarded to fishing companies may be tradable • The answer may be supported using a relevant diagram e.g.	(14)
	 NB If there is no appropriate diagram - maximum level 3 KAA	

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 Evaluation of policies might include; • Unintended consequences, such as illegal fishing • Excessive administrative costs • Information gaps, with consumers unaware of the extent of the damage being caused by over-fishing, not knowing level of tax to implement etc. • UK may increasingly over-fish since leaving the EU • Relative benefits/costs of government intervention versus market-based solutions • Government unaware of the right level of intervention	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q9.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge/understanding 1 mark for infinite wants and finite resources (1) Application 1 mark each for any one of the following for infinite wants: • Consumers of health care have a growing list of medical concerns for essential/non essential treatment/waiting list 4 million (1) • Ageing population (1) • New medical technologies(1) 1 mark each for any one of the following for finite resources: • Number of doctors/nurses (1) • Number of hospital beds available/bed occupancy rates 99% (1) use of Figure 2 e.g. • Waiting time has increased from 5.7% (1) to 10.7% (1) Analysis Up to 2 marks for any one of the following in linked development OR two limited examples of analysis (1+1): • Health resources are scarce (1) so Hospitals have to make choices about who to treat (1) • Decisions need to be made on what, how, why and for whom to treat (1+1) • Opportunity cost of making a medical choice/decision (1) • Government health priorities (1)	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2 Knowledge/understanding 2 marks for e.g. • producers know more than consumers (1) or the information is incomplete or imperfect (1) • misallocation of resources (1) Application 1+1 mark for e.g. • risk of requiring health care is an unknown (1) • Doctors know more than patients (1) Analysis Up to 2 marks for any one of the following in linked development to market failure OR two limited examples of analysis (1+1): • Under consumption of healthcare (1) so patients' health conditions deteriorate (1) • Consumers overcharged for health treatment (1) as they are unaware of the true cost of health care (1) • Unnecessary treatment (1) as consumers unaware of health needs (1) • Patients lack of awareness of waiting times and NHS priorities (1)	(6)

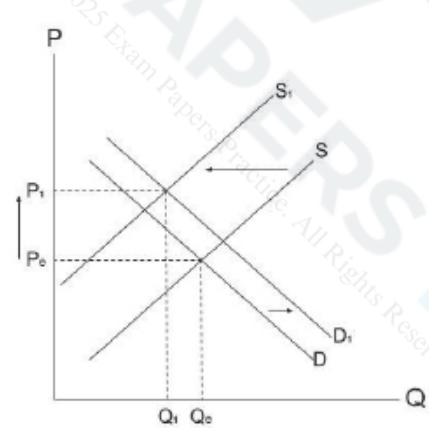
Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2 • Knowledge – public goods are non-excludable and non-rivalrous • Application - Extract C suggests public parks exhibit these features Reasons why they are public goods • 'free use' i.e. do not have to pay to enter • 'share the park with other users' • 'no exclusive use of the park' • Park run users 'share the park' with other users indicating one person using the park for a run does not have an impact on another person's enjoyment so non-rival. NB Reasons for/against being a public good may be presented as either KAA or EV	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 Reasons against being public good • Local authorities planning on charging parkrun participants using public parks • Public parks already have exclusive areas e.g. booking tennis courts or football pitches • Parks may be rivalrous in consumption e.g. Hundreds of park run participants may get in the way of other users. • Parks are also excludable because they already have exclusive areas, gates can be closed at certain times	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 £12 * 450 million (1) = £5.4 billion (1) £5.4 billion * 90% = £4.86 billion (1) £5.4 billion - £4.86 billion (1) = £0.54 billion £5.4 billion * 10% (1) = £540 million (1) NB Award 4 marks for a correct answer of £540 million/£0.54 billion. Award up to 3 marks for correct working but overall correct answer missing.	(4)

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Demand shifting right and/or Supply shifting left e.g.  Reasons for demand shifting right: • Ageing population, migration • Medical technological advances • NHS as a substitute less attractive, inferior good, waiting times. • Peer pressure Reasons for supply shifting left: • high management and administrative costs • salaries/wages rising due to doctor/nurse shortages • removal of subsidy/higher tax on private health care treatment • rising rents of private hospitals • rising cost of machinery in health care. NB For Level 3 KAA one relevant diagram.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	4-6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	7-9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • Magnitude depends on how proportionately large the shift in demand or supply is as a key determinant • Price elasticity of demand may be more price elastic in the long run, given improvements in the NHS, discouraging further price increases • Price elasticity of supply may be relatively price inelastic, given health infrastructure, so price rise may be very significant • Other factors may reduce price e.g. government subsidies, productivity gains, healthier lifestyles.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-3	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	4-6	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 Define excess demand. Application of excess demand to state funded health care. Government interventions: Factors influencing demand and supply (PES) that may result in the removal of excess demand (new hospitals built/doctors trained). Purpose of intervention with reference to market failure and using diagrams in various contexts: • government spending on direct provision increases supply • charging for NHS health care rations • indirect taxation (ad valorem or specific) on sugar/high fat content food/drinks or cutting taxes on healthier lifestyle options • subsidies on healthy food/gym memberships • maximum and minimum prices on healthy and unhealthy food/drinks Other methods of government intervention: • state provision of public goods e.g. public parks • provision of information e.g. 5 a day • regulation e.g. restricting sugar content • subsidising private treatment	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 Government failure to reduce excess demand. Understanding of government failure as intervention that results in a net welfare loss; consumers face an under provision of food/drink that satisfies them i.e. marginal social benefits now exceed marginal social costs. Consumer choice restricted e.g. heavily subsidised healthy school meals and regulations against unhealthy options. Causes of government failure: • distortion of price signals • unintended consequences – charging for health care results in under consumption. • excessive administrative costs • information gaps – what is healthy, concerns about low sugar food/drink contents • time lag of the policies • magnitude depending on size of funding change. Irrational consumer behaviour - peer pressure.	(6)

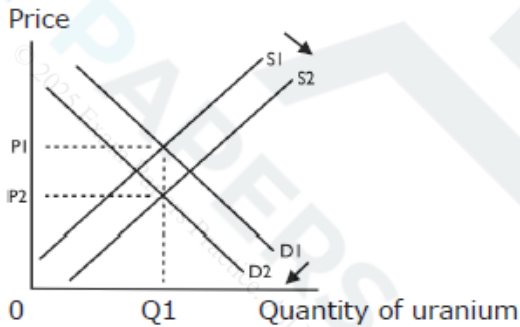
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Distinction between free market, mixed and command economies: reference to Adam Smith, Friedrich Hayek and Karl Marx Disadvantages of free market approach: • Free market under provision of health services, with large external benefits (SMB>SMC analysis), below social optimum. • Sick unable to work – loss of potential output, PPF. • Addressing concerns on affordability to access health care, insurance and information gaps e.g. preventative earlier treatments for elderly and children. • Misallocation of resources on administration of charges. • Profit incentive misallocating resources ahead of patient needs. • Asymmetric information on need to pay for treatment and quality of care. • Missing markets for elderly, children, remote rural areas.	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
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Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 Functions of the price mechanism to allocate resources in private health sector or NHS: • rationing • incentive • signalling • 'Private health care increases choice for users, encourages competition and drives up standards of care.' • Mixed economy acts as a compromise between the advantages and disadvantages of a free market economy and a command economy. • Mixed economy features disadvantages of both a free market economy and a command economy and has no advantages of either. • NHS is more efficient and offers better care than private sector so why allow private sector to exist. • NHS waiting lists and lack of choice. • Information failures.	(6)
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q10.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for an increase in supply or a decrease in demand. This may be illustrated on a diagram Application 2 marks for using source data explaining change in supply and demand, e.g. • Estimated surplus (1) of approximately 7 million kg of uranium (1) • Kazakhstan's production has increased significantly/stockpiles (1) • Confidence in nuclear industry declined/Japan closed some of its nuclear plants (1) Analysis Accurate diagram – showing price fall (1) correct shift in demand and supply (1) e.g. 	(5)
Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 2 - Shows or demonstrates understanding of price elasticity of supply. - Reasons why uranium is price inelastic. - Diagram to show price inelastic supply. - Time. Two years to build a uranium mine in Spain, ten years in 'development', difficult to find in right concentrations. - Factor immobility e.g. uranium mine cannot be switched to other uses - Regulation. 'Have to clear extra hurdles' due to government concerns regarding negative externalities. NB KAA can be treated as Evaluation and vice versa	(6)

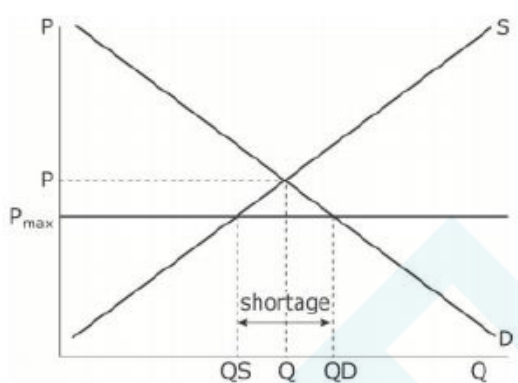
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 Reasons why uranium is price elastic: • Time. Ability to store stockpiles of uranium, Figure 1 surplus suggests and 'stockpiles until 2020'. • 'Uranium is a relatively common metal'. Extract A Line 2 • Distinction between short run and long run and its significance for elasticity of supply. By 2018 mine in Uranium producing '2.2 million kilos a year'.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	Knowledge 2, Application 2 Analysis 2 Award up to 3 marks for each reason: Knowledge/understanding • Identification of two separate reasons: inertia, computational problems, information gap, all providers increasing prices over time. (1) Application 1 mark for, e.g. • 'Irrational consumers pay the price'. (1) • Energy prices have risen by 158% in the last 15 years.(1) • Four million households are still on the most expensive energy rates. (1) Analysis Linked development of why not switching to a supplier offering lower prices (1) e.g. • Inertia (1) despite a decade of rising energy bills (1) as consumers do not have the time or motivation to switch (1).	(6)

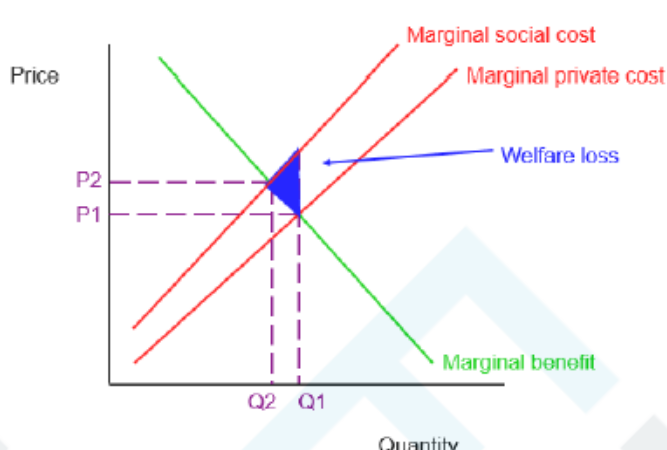
Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 Knowledge/understanding 2 marks for e.g. Renewable energy is a resource made from something which can be renewed itself/infinite supply (1) Non-renewable energy is a resource which once exploited cannot be replaced/finite supply (1). Application 2 marks for, e.g. Energy generated by nuclear or coal is non-renewable (1) Solar or wind energy is renewable (1).	(4)

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 - Understanding of maximum price.  The effect of a maximum price on consumers: - Energy prices more affordable for consumers, end of 'decade of rising energy bills', extension in demand for energy or increase in quantity demanded (inefficient use). The effect of a maximum price on producers: - Contraction in supply or decrease in quantity supplied, power stations turned off 'undermine energy market', decline in producer surplus or revenue/profit. NB Level 3 responses must consider the effects on both energy consumers and producers. NB If no valid diagram then the maximum of Level 2 may be awarded	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • It depends on whether and how far the maximum price is below the market equilibrium price. • It depends on the PES of energy. • It depends on the PED for energy. • Comment on the costs to consumers – loss of consumer surplus, energy shortages, 'higher prices in the future'. • Comment on the impact on producers – producer behaviour e.g. may move up to the price cap, reduce investment • Government failure e.g. distortion of price signals, unintended consequences	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 External Cost:  Diagram(s) accurately drawn – with clearly labelled 'welfare loss' shaded triangle Explain costs to third parties in context. External costs: • Risk of nuclear accident – local schools and businesses close, impact on property prices. • High doses of nuclear radiation leaks increase the risk of cancer – loss of family income, employment, contribution to local economy, costs to NHS. • Cost of storage for future generations – opportunity cost of resources (land) tied to this, resulting in loss of income to farmers for example. • Opportunity cost of subsidies to nuclear industry, subsidy cuts to solar businesses. NB KAA can be treated as Evaluation and vice versa NB If there is no Diagram, max Level 3	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 Reduced external costs in production of substitutes/external benefits may mean it is under-produced: • Curb greenhouse gas emissions which are causing climate change, by using nuclear, resulting in less flooding or storm damage reducing insurance costs to businesses. Extract C • Building new nuclear reactors allow positive local economic effects from job creation. • Provide 'affordable energy' helping businesses stay open thus protecting jobs and ending fuel poverty resulting in lower demands for health care. Other evaluation points might include: • Magnitude – depends on relative size of external cost. • Measurement difficult – putting a value on external costs. • Energy efficiency measures more preferable. • Short term/long term costs and benefits.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Reasons for government intervention e.g. to correct market failure Link intervention to reducing carbon emissions. Appropriate diagram(s) accurately drawn. Ways might include: • Indirect taxation (ad valorem and/or specific) on carbon emissions providers e.g. coal/gas power stations, or workplace parking, reference to taxes directed at getting people out of their cars • Subsidies to solar/wind/nuclear energy/cycling/public transport • Maximum price on low/zero carbon emissions providers and minimum prices on carbon emitters. • Tradable pollution permits e.g. EU emissions trading scheme. • Provision of information, energy efficiency measures. • Regulation e.g. shut down all coal-fired power stations by 2025, reduction in car emissions by using low emission zones. NB KAA can be treated as Evaluation and vice versa NB If there is no Diagram, max Level 3	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 Why the ways given may or may not be successful e.g. • Distortion of price signals. • Unintended consequences, energy shortages. • Excessive administrative costs, pollution permits. • Information gaps, external costs of non-carbon based energy sources, questioning link between carbon emissions and climate change. • Government failure to provide, solar and wind power 'vary with weather', nuclear accidents. • Relative benefits/costs of government intervention versus market based solutions.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q11.

Question Number		Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge/understanding and analysis: Oligopoly (1) OR Legal monopoly (1) OR Monopoly only if monopoly POWER is implied e.g. using CR calculation (1) OR Duopoly only if duopoly POWER is implied e.g. using CR calculation (1) AND Understanding of market structure identified, e.g. a market <i>dominated by</i> a few firms, or <i>interdependent</i> (1) Explanation of the process linking to the market structure to the action of firms e.g. high concentration means that firms may exhibit collusion, price rigidity, use of non-price competition, profits are not competed away (1)	

	Application (1+1): 2 marks for data references from Figure 1 and other sources (at least 1 mark must be related to Figure 1) e.g. Others 29% - Concentration ratio calculation e.g. 2 firm CR is 44% 3 firm CR is 53% 4 firm CR is 60% 5 firm CR is 66% 6 firm CR is 71% (2) - Costa (31%) is >25% market share (2) - Strong brand names, brand logos e.g. Caffè Nero and Costa (1) have been dominating the UK market Fig. 1/Extract A (1) - Market power is likely to be high (1) with reason e.g. consumer loyalty (1) shown in Figure 3 as price differences tolerates/illustrate market power (1) coffee has price inelastic demand (1) so people are prepared to pay more (1)	(5)
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Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 4 Pricing strategies - must be linked to <i>profit</i>, and may include: - Price leadership/price matching – some brands seem very similar in pricing e.g. use kinked demand theory - Predatory pricing - Limit pricing (with view to higher future profits) - Price wars (with view to higher future profits) - Collusion/collaboration - reward the use of game theory/pay off matrix to support this - Undercutting close rival e.g. Costa (with view to higher profits) - Also award, if linked to profit: sales max, exploiting economies of scale, cost cutting, or competitive pricing linked to elastic demand, price rises and/or price discrimination	

	Non-pricing strategies – linked to <i>profit</i>, might include: • Loyalty schemes, e.g. Starbucks only allow its own cup for reuse in store, • Paying for central and expensive locations for stores • Opening up new stores near to competitors to undermine the competition, e.g. at a London location there are many competitors • Closing down non-profitable stores as rationalisation policy • Strengthening the brand by advertising • improving reputation for recycling washable cups/fair trade coffee, sharing with other brands not just Starbucks coffee cups which can be washed in store and re-used • Extension of product range • Focus on quality NB Award collusion and BOGOF-style approaches as either pricing or non-pricing strategies. NB For a Level 3 answer, there must be both price and non-price strategies, and reference to the context of <i>profitability of Starbucks</i>.	(8)
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 • Weighing up of reasons for using price or non-price competition, e.g. • Not likely to use price competition - e.g. better to collude and keep higher joint profits. • Non-price competition can have very uncertain results/be expensive • Effects in the short run and long run might vary e.g. rising costs lead to falling profits, but long run demand rises leading to better results • Relative effectiveness of measures e.g. limit pricing may be static in long run and predatory pricing changes when other firms leave • Some of these strategies are illegal and could lead to fines, which might reduce overall profitability • Unstable nature of game theory equilibria • The effectiveness of the competition authorities might be considered e.g. regulatory capture • Depends on the strength of brand loyalty • Limitations of loyalty schemes, e.g. cost, consumer behaviour.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number		Mark
(c)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge (1+1) e.g. • Fall in consumption of non-renewable products (1) • Rise in tax revenues (1) • Reduction in external costs/greater environmental awareness (1) • Soft touch regulation/allows consumer choice (1) Application (2 or 1+1) e.g. • Use of reusable cups as a means of reducing demand for disposable cups (i.e. a substitute, Extract C) (1) • Extract B – 5p charge is a small proportion of £2.60 (1) • 85% reduction in plastic bags (1) • This might be illustrated through the use of a correct supply curve shift, e.g. a fall in consumption or production of cups on x axis (1) Analysis (1+1) e.g. • Indirect taxes may raise prices (1) • Increases in costs of production (1) • Link between unit tax, tax revenue and reduction in demand for cups (1) • A supply and demand diagram showing an indirect tax (supply shift upwards/leftwards) or an externalities diagram might be used (1) • tax revenue could be used to subsidise other products, e.g. recyclable cups (1)	
	Evaluation (2 marks for any relevant point or 1+1). Points might include: • It depends if the tax is passed on to the consumer • Other policies may be considered e.g. new recycling specialist facilities, regulation • PED might be used, e.g. a 5p tax on the price of a £2.60 coffee might have very little effect on demand, or, a cup of coffee may be a small percentage of consumer income, depends on the availability of substitutes • Regressive nature of the tax – has a greater effect on lower incomes • Other approaches considered, e.g. subsidising reusable cups as in Ext B changing the technology in the recycling NB award two advantages. A diagram can be credited as analysis or application (1+1) up to 2 marks in total.	(8)

Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Microeconomic influences may include: • Level of demand or expected demand, prospect for profit • Cost of labour, minimum wage, spare capacity in the labour market • Rent/land prices • Contestability of market/barriers to entry e.g. how long and it takes and ease of setting up business • Legal system and other legislative issues • Property rights • Extent of regulation • Existing PED • Brand loyalty • Sunk costs Macroeconomic influences may include: • Levels of competitiveness e.g. price and non-price, which might relate to competitiveness ranking, e.g. infrastructure, human capital, institutions • Macroeconomic environment, e.g. inflation • Membership of EU or other trade bloc issues • Value of currency • Level of corporation tax. • Transfer pricing possibility, as outlined in Extract A, as impact on profitability (not costs) • Level/rate of national income/economic growth and spare capacity/unemployment • Growth of household incomes in different countries, e.g. Chinese coffee shops are the most profitable, growing quickly in number • Strength and stability of local economy • Political and social stability	
	NB competitiveness, corporation tax, incomes, unemployment and contestability can be seen as a micro or macro approach. • Possible evaluation points include: • Factors might balance each other out • Changes in tax rates, e.g. government cutting corporation tax significantly • Starbucks is starting to report UK profits – perhaps it has had too much negative publicity from the low profit tax paid, Extract A reduction by a third in sales at Starbucks. Also it is moving headquarters from Netherlands to UK • Different influences affect different firms	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic factors. The answer demonstrates logical and coherent chains of reasoning.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced, leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Microeconomic effects may include: • Effects on consumers – e.g. higher prices (or lower prices if increased competition), more consumer spending on high street. Might include PED, YED (this might be developed as evaluation) • Effect on workers – higher incomes, more jobs • Effect on firms, e.g. increase in profits, revenue/decrease for independent non-branded coffee shops; cost of employing specific skilled workers e.g. baristas or other factors of production • Increase negative externalities e.g. more coffee cups • External economies of scale e.g. ancillary services such as cup manufacturers Macroeconomic effects may include: • Increased employment in service industry • Balance of payments e.g. outflow of profits to Starbucks • Effects on primary product producers • AD increase, negative/positive multiplier effects (local businesses might lose out to branded supermarket coffee outlets), inflation/growth • Tax implications e.g. transfer pricing • Income inequality • Environmental impacts	
	NB environmental impacts, labour markets, taxation or incomes can be seen as a micro or macro approach. Evaluation points may include: • Extent of negative externalities depends on whether new processing plants for cups are set up/how alternatives are produced. • Depends on the extent of the increase in demand, PED, YED, XED – and if other areas are seeing declines. • Depends on the size of the multiplier • Depends on the level of spare capacity (LRAS for example) • Depends on growth levels, point at which AD and AS meet (if Keynesian approach) • Depends on the performance of other firms • Depends on the extent to which local shops are displaced • Depends on the extent to which substitution can occur – e.g. people drink coffee instead of going to pubs • Depends on degree of profit repatriation, remittances, transfer pricing • Depends on whether coffee shops extends consumption spending or replaces demand for something else which might have different benefits/costs	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic factors. The answer demonstrates logical and coherent chains of reasoning.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced, leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q12.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 2, Analysis 1 NB an answer which sees highly concentrated as having a large number of firms will not earn knowledge or analysis marks Knowledge and analysis: 3 marks for e.g. • Identification of high concentration - high market share of some firms (1) few large firms dominate (1) uncompetitive (1) • Identification of market structure - there is a <i>legal</i> monopoly (Walkers) OR oligopoly OR duopoly (1) • Firms can set prices (1) control output (1) / monopoly power (1) • Interdependent (1) • High barriers to entry/exit (1) low contestability (1) Application: 2 marks for data references e.g. • Walkers have over 50% of market share (1) • Use of concentration ratio e.g. 2 firm CR 78.0% (2), 3 firm CR 82.2% (2) • Extract A refers to ban making market more competitive (1) implying prices are currently uncompetitive/high (1) • Extract A – high levels of advertising (1) • common features: they tend to be dominated by a small number of firms that sell multiple brands and that heavily advertise their products (1) NB Concentration ratio calculation can be awarded as analysis or application Award a maximum of 1 application mark if there is no reference to Figure 1 or Extract A	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge/ implicit understanding: (1+1) marks for reason e.g. • Educational/skills/wage differences • Changing patterns of trade/globalisation • Government policy/austerity/universal credit • Income generated from inheritance • Payments generated from debt • Race, gender, age, geographical issues • Changes in direct tax • Stage of the economic cycle/Financial Crisis 2008 • House prices (must relate to income not wealth) • Weakened power of trade unions • Level of unemployment/underemployment • Irrational behaviour/information gaps/myopia Application (1+1 or 2): • Any valid application to causing inequality in the UK or other developed country, e.g. unaffordable house prices in the UK mean the younger generation has little income after rent (1); cut in the top rate of income tax, rise in NICs, change in tax thresholds; university fees at £9250 a year is widening the income gap if fewer low income households go to university (1); pensions rising below average incomes (1); educational differences such as an economics degree has a higher impact on future earnings than other degrees (1)	
	Analysis (1+1): • Linked development of the two points made Evaluation (1+1 or 2). Points might include discussion of: • The role of transfer payments/minimum wages in narrowing/failing to narrow inequality • Changes rather than levels of income inequality, absolute vs relative issues • Relationship with wealth e.g. as a more significant inequality issue • Relative significance of different factors e.g. direct taxes more proportional than indirect taxes (regressive) • Time lags e.g. education has effects as yet unfolded, government policy might change, Brexit has not yet happened. NB Do not allow indirect taxes or subsidies as KAA NB Use of Gini coefficient or Lorenz curves could be used as application or analysis	(8)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 4 - Firms are interdependent so they will respond in the face of what other firms might do - Firms may not reach the same outcome as if they operated alone - Firms are cutting prices because they want to expand market share/steal other firms' markets - All firms responding in this way means that firms make less profit overall - Effects of advertising ban may make market more contestable, with possible effects on entrant - Price cuts could be a form of limit pricing, i.e. reducing contestability (effects on possible entrants may be shown) Game theory e.g. a payoff matrix or kinked demand curve to illustrate behaviour, for example cartel-like or collusive behaviour, price leadership NB to access Level 3 there must be correct use of game theory and application to the data.	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 - Firms such as Walkers have significant market share and brand loyalty, even if competition lower price they may not switch - Use of context to show that firms are cutting prices because of a regulation and not because of the actions of other firms. No sign of interdependence. - Size of market shrinking overall so behaviour more aggressive - Firms setting low prices in a long run equilibrium might not be the best option for the firms or other stakeholders. - Advertising ban affects children mainly - so price competition less needed for older target audiences that can still be targeted. - Reference to only 10% loss in sales compared to 15% - still a large impact on firms (Extract A).	(4)
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for effects of increased spending on education to promote healthy eating in the UK. Microeconomic effects may include: • Effects of increased demand for healthy foods/consumer surplus/increased prices (may include supply and demand diagram) or fall in price of HFSS foods • Positive externalities in consumption are internalised (may include divergent MSB and MPB diagram and corresponding movement toward social optimum at $MSB=MSC$) • Impact on firms which make unhealthy products – increased costs if they diversify/reduced demand e.g. use of healthier ingredients with higher costs. This might be shown on a cost/revenue diagram. • Increased profits for healthy food producers e.g. shown on a costs/revenue diagram • labour market issues, e.g. workforce becomes healthier, and reduced obesity might make workers more productive (increase marginal product) • Opportunity cost of spending on education Macroeconomic effects may include: • Effects on price level and output as G increases, with multiplier effects. May be shown by shift out in AD with effects on price level and real output. • Healthier workforce shifts out the LRAS, with impact of lower prices and higher output • Fiscal implications – crowding out, effect on balancing budget	
	NB for a Level 4 response there must be micro and macro effect (s). Opportunity cost/shift in PPF/labour markets/competitiveness etc. can be used as micro or macro. 9 marks for evaluation – questioning might include: • Expansionary fiscal policies not necessarily happening. It might mean expenditure elsewhere is cut (opportunity cost arguments) • Trade-off between objectives e.g. increased spending might cause inflation, depends on the state of the fiscal balance, multiplier etc. • Questioning whether education is effective, or whether other policies are needed, e.g. tax, banning advertisements • Education might be counter-productive/role of state might be questioned e.g. government failure, crowding out effect	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic factors. The answer demonstrates logical and coherent chains of reasoning.
Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8 Evaluation 9 16 marks for KAA, for effects of increase in tax on HFSS foods. Microeconomic effects may include: • Rational economics implies people will change consumption patterns. Consumer preferences will change away from HFSS foods e.g. as consumers switched to cheaper brands and crossed the border to Sweden and Germany to do their shopping (Extract C). • An ad valorem or specific tax diagram might be used to illustrate the effects on prices/quantity in each market, and the incidence of tax • Cross elasticity of demand – evidence (e.g. Extract C) that a rise in price may cause a rise in demand for healthy food. • Welfare changes, e.g. loss of consumer, producer surplus/higher prices and deadweight welfare loss. This might be shown with an externalities diagram, e.g. positive in consumption of healthier foods. • Impact on firms, e.g. loss in profits on HFSS as costs rise/demand falls. This might be illustrated using a costs/revenue diagram; increased profits for healthier options. • Impact on labour market. Healthier workers, or effects of cut in real wages as costs of living increase. Changing employment opportunities. e.g. reduced employment for HFSS manufacturers and increased employment for healthy foods firms.	
	Macroeconomic effects may include: • Redistribution (micro or macro issue): indirect taxes of this sort are regressive, disproportionately affecting the elderly and the poor. Taxes on HFSS foods moderate consumers, as well as the obese overeaters they are intended to target. • Cost push inflation – a one-off rise in prices. This might be shown by an upwards/leftwards movement of AS • Effects on incomes/net exports – may be linked to a fall in AD, e.g. in Denmark the policy helped push up food prices in a year in which real wages fell by 0.8%. • Governments might gain revenue which can be used elsewhere in the economy / lose revenue – Laffer curve (Extract C) NB for a Level 4 response there must be micro and macro effect (s). Opportunity cost/shift in PPF/labour markets/productivity/competitiveness etc. can be	

	used as micro or macro. Up to 9 marks for evaluation. Points might include: • Depends if firms respond by cutting prices (Extract B) • The tax makes people buy other unhealthier food (in Extract C) e.g. increases price and people may substitute to cheaper even unhealthier or low-quality alternatives that are more affordable • Tax is not an efficient deterrent to obesity. The policy had a very limited impact on the consumption of HFSS in the data foods: 80% of Danes did not change their shopping habits at all (Ext C). Not only is demand for food relatively inelastic, prices often fluctuate, and consumers become immune to changes • Depends on magnitude- the proportion of income may be low • The price elasticity of demand will determine the incidence of the tax - inelastic larger consumer incidence and elastic larger producer incidence. • Depends on how funds are used - e.g. to promote healthy eating through subsidies and education • The intervention may mean free markets work less well – theory of unintended consequences • Other unintended consequences e.g. counterfeit, smuggling	(25)
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Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic factors. The answer demonstrates logical and coherent chains of reasoning.
Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.